Grade: Check

	Price (x)	Probability f(x)	mean = x*f(x)	x-mean	f(x)*(x-mean)^2	std deviation		f(y)	f(y)- mean
	20	0.05	1	-5.41	1.463405				
	21	0.06	1.26	-4.41	1.166886				
	22	0.07	1.54	-3.41	0.813967				
	23	0.08	1.84	-2.41	0.464648				
	24	0.09	2.16	-1.41	0.178929				
	25	0.12	3	-0.41	0.020172				
	26	0.15	3.9	0.59	0.052215		1	0.15	
	27	0.13	3.51	1.59	0.328653		2	0.26	
	28	0.1	2.8	2.59	0.67081		3	0.3	
	29	0.1	2.9	3.59	1.28881		4	0.4	
	30	0.05	1.5	4.59	1.053405		5	0.25	
		1.00	**25.41**	**-4.51**	**7.5019**	**2.738959657**		**1.36**	
2. a.	lower bound	22.67104034		stocks that fall between this are priced at $23-$28					
	upper bound	28.14895966		0.67	=67% probability				
2. b.	lower bound	19.93208069		stocks that fall between this are priced at $20-$30					
	upper bound	30.88791931		1	=100% probability				
3	option value is y = max(x − 25, 0)								
	below $25 is worthless; above $25 has a payoff			0.47	=47% chance it is worthless				
				0.53	=53% chance it has a positive payoff				
5		per above table, the mean is 1.36							

✓ Q1

✓ Q2a

✓ Q2b

x Q3: Full distribution table missing.

✓ Q4

x Q5: Variance and SD of V missing.